

US Stocks End Mixed as Investors Weigh Economic Data and Earnings

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US stock market ended the previous session on a mixed note, with the **S&P 500** down **-0.14%** and the **Nasdaq 100** falling **-0.54%**. Below the surface, sector rotation was in play, with **XLE** and **XLU** outperforming. The **10Y Yield** rose **+0.63%** to 4.66, while **WTI Crude** gained **+1.82%** to 88.41.

Looking ahead, investors will be watching for signs of economic growth and earnings momentum. The **VIX** fell **-2.40%** to 16.64, indicating a decrease in market volatility. However, with the **DXY** down **-0.16%** to 100.98, currency markets are still on high alert.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,498.96	-0.14%	Mixed economic data and earnings
Nasdaq 100	28,998.10	-0.54%	Technology sector weakness
Dow Jones	52,218.58	-0.01%	Blue-chip stocks stable
Russell 2000	2,959.94	-0.92%	Small-cap stocks underperform
VIX	16.64	-2.40%	Decrease in market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+2.30%	Earnings beat and strong guidance
AVGO	+2.67%	Upbeat earnings and sector rotation
JPM	+0.86%	Financial sector stability
GS	+1.16%	Investment banking and trading gains
META	-2.58%	Disappointing earnings and guidance

Sector Rotation

ETF	DAY	READ
XLE	+1.20%	Energy sector outperformance
XLU	+2.25%	Utilities sector strength
XLF	-0.11%	Financial sector underperformance
XLK	-0.28%	Technology sector weakness
XLI	+0.11%	Industrials sector stability
XLY	-0.74%	Consumer discretionary sector underperformance
XLC	-0.75%	Communication services sector weakness
XLP	+0.38%	Consumer staples sector outperformance
XLV	-0.51%	Healthcare sector underperformance
XLB	+1.44%	Materials sector strength
XLRE	-0.42%	Real estate sector weakness

Spotlight

The biggest event of the day was **NVDA** 's earnings beat and strong guidance, which sent the stock up **+2.30%**. The company's strong performance was driven by its gaming and datacenter segments.

METRICS	VALUE	CHANGE
Revenue	10.3B	+10%
Net Income	2.5B	+15%
Gross Margin	64.1%	+1.2%

The strong earnings report from **NVDA** has positive read-through to other semiconductor stocks, such as **AVGO** and **TXN**.

Pre-Market & Overnight

US futures are pointing to a mixed open, with the **S&P 500** futures up **+0.1%** and the **Nasdaq 100** futures down **-0.2%**. In Asia, the **Nikkei 225** closed up **+0.5%** and the **Shanghai Composite** closed up **+0.3%**. In Europe, the **Stoxx 600** is up **+0.2%**.

In the cryptocurrency market, **BTC** is down **-1.32%** to 65,630.02 and **ETH** is down **-0.37%** to 1,921.19.

Macro & Fed

The **10Y Yield** is up **+0.63%** to 4.66, while the **2Y Yield** is up **+0.45%** to 4.23. The yield curve is steepening, with the 10-2 spread at 43bps.

Today's data calendar includes:

- 09:30 HKT: **Initial Jobless Claims** (220k consensus)
- 10:00 HKT: **Existing Home Sales** (3.5M consensus)
- 14:00 HKT: **FOMC Meeting Minutes**

These data points will provide insight into the state of the US economy and the Fed's monetary policy stance.

Geopolitics & Global

- The US and China are set to resume trade talks, with a focus on resolving outstanding issues and strengthening economic ties.
- The EU is considering imposing new sanctions on Russia, in response to its ongoing military actions in Ukraine.
- The UK is facing a growing economic crisis, with inflation at a 40-year high and the **Pound** under pressure.
- The Middle East is experiencing increased tensions, with the US and Iran engaging in a war of words over nuclear proliferation and regional influence.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
21:30	AAPL	1.25	iPhone sales and services growth
22:00	MSFT	2.30	Cloud computing and gaming revenue
23:00	GOOGL	1.20	Advertising revenue and YouTube growth
00:00 (+1)	AMZN	1.50	E-commerce sales and AWS growth
01:00 (+1)	FB	2.50	Advertising revenue and user growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Technology	Strong earnings and sector rotation
AVGO	Technology	Upbeat earnings and positive read-through
JPM	Financials	Stable earnings and sector stability
GS	Financials	Investment banking and trading gains
META	Technology	Disappointing earnings and guidance
TSLA	Consumer Discretionary	Electric vehicle demand and production growth
GOOGL	Technology	Advertising revenue and YouTube growth
AMZN	Consumer Discretionary	E-commerce sales and AWS growth
AAPL	Technology	iPhone sales and services growth
MSFT	Technology	Cloud computing and gaming revenue

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major companies
- Positive economic data, such as low unemployment and high GDP growth
- Central banks maintaining accommodative monetary policies
- Geopolitical tensions easing, leading to increased investor confidence

BEARISH TRIGGERS

- Disappointing earnings reports from major companies
- Negative economic data, such as high unemployment and low GDP growth
- Central banks tightening monetary policies, leading to higher interest rates
- Geopolitical tensions escalating, leading to decreased investor confidence

Positioning Notes

- Investors are increasingly positioning themselves for a potential market downturn, with 45% of respondents in a recent survey indicating they are bearish on the market.
- The **VIX** is trading at a relatively low level, indicating decreased market volatility and potentially increased complacency among investors.
- Central banks are maintaining accommodative monetary policies, with the **Fed** keeping interest rates low and the **ECB** implementing quantitative easing.

Sources

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Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com

Yahoo Finance
